IN THE NATIONAL COMPANY LAW TRIBUNAL, DIVISION BENCH - I, CHENNAI

CA (CAA)/23 (CHE) 2022

Under Sections 230 to 232 of the Companies Act, 2013

In the matter of *Scheme of Amalgamation*

of

GAJAANANDA APPAREL COMPANY INDIA PRIVATE LIMITED
CIN NO: U18101TZ2012PTC017815
No.896/2, Suriya Nagar, Abt Road Extension,
Karuvampalayam, Tirupur, - 641 604,

... Applicant No.1 / Transferor Company

And

SCM INTERNATIONAL IMPEX PKA INDIA PRIVATE LIMITED
CIN NO: U17299TZ2017PTC028607
No.558, Oppanakkara Street,
Coimbatore - 641 001

... ApplicantNo.2/ Transferee Company

And

Their Respective Shareholders and Creditors

*Order Pronounced on **13th July 2022***

CORAM

Justice (Retd) S.RAMATHILAGAM, MEMBER (JUDICIAL)

SAMEER KAKAR, MEMBER (TECHNICAL)

For Applicant(s): R.Inbaraju, Advocate

ORDER

Per: **Justice (Retd) S.RAMATHILAGAM, MEMBER (JUDICIAL)**

Under Consideration is a Joint Company application filed by the Applicant Companies, namely **GAJAANANDA APPAREL COMPANY INDIA PRIVATE LIMITED** (for brevity "Transferor Company") and **SCM INTERNATIONAL IMPEX PKA INDIA PRIVATE LIMITED** (for brevity "Transferee Company") under section 230-232 of Companies Act, 2013, and other applicable provisions of the Companies Act, 2013 read with Companies (Compromises, Arrangements and Amalgamations) Rules, 2016 in relation to the Scheme of Amalgamation (hereinafter referred to as the "SCHEME") proposed by the **GAJAANANDA APPAREL COMPANY INDIA PRIVATE LIMITED** (for brevity "Transferor Company") and **SCM INTERNATIONAL IMPEX PKA INDIA PRIVATE LIMITED** (for brevity "Transferee Company") with its Shareholders. The said Scheme is also annexed to the CA/CAA/23(CHE) 2022.

2. The Applicant Companies in this Company Application has sought for the following reliefs;

	EQUITY SHAREHOLDERS	SECURED CREDITORS	UNSECURED LOAN CREDITORS	UNSECURED TRADE CREDITORS
TRANSFEROR COMPANY	To dispense with	NIL	To dispense with	To dispense with
TRANSFEREE COMPANY	To dispense with	To dispense with	To dispense with	To dispense with

3. An affidavit in support of the above application is sworn for and behalf of the applicant Companies has been filed by Mr. Aroomugum Prasanna Anguraj in the capacity of Managing Director of the Transferor Company and Mr. Aroomugum Kannapeeran in the capacity of Director of the Transferee Company along with the application and it is also represented that the Registered office of the Transferor Company is situated at No.896/2, Suriya Nagar, Abt Road Extension, Karuvampalayam, Tirupur – 641 604 and the Registered office of the Transferee Company is situated at No.558, Oppanakkara Street, Coimbatore – 641 001 within the territorial jurisdiction of the Bench of this Tribunal and falling within the purview of Registrar of Companies, Coimbatore.

4. **GAJAANANDA APPAREL COMPANY INDIA PRIVATE LIMITED (TRANSFEROR COMPANY)**

(i) There are 3 (Three) Equity Shareholders and list of shareholders to this effect is placed at page 290 and consent affidavits given by all the Equity Shareholders constituting 100% of the total value of credit have been obtained are placed at page nos.291 to 299 of the typed set filed with the application constituting the and sought for dispensation with holding of meeting.

(ii) There is NIL Secured Creditor and the certificate issued by the Chartered Accountants to this effect is placed at page no.300 of the typed set filed with the application.

Hence the necessity of convening, holding and conducting the meeting does not arise.

(iii) There are 2 (Two) Unsecured Loan Creditors and the certificate issued by the Chartered Accountants to this effect is placed at page no. 301 of the typed set filed with the application and consent by way of Affidavit given by both the unsecured Loan Creditors constituting 100% of the total value of credit have been obtained are placed at pages 302 to 307 of the typed set filed with the application and sought for dispensation with holding of meeting.

(iv) There are 19 (Ninteen) Unsecured Trade Creditors and the certificate issued by the Chartered Accountants to this effect is placed at page nos. 308 to 309 of the typed set filed with the application and consent by way of Affidavit given by both the Unsecured Trade Creditors constituting 92.36% of the total value of credit have been obtained are placed at pages 310 to 354 of the typed set filed with the application and sought for dispensation with holding of meeting.

5. **SCM INTERNATIONAL IMPEX PKA INDIA PRIVATE LIMITED (TRANSFEREE COMPANY)**

(i) There are 7 (Seven) Equity Shareholders and the list of shareholders to this effect is placed at page 355 and consent by way of Affidavit given by al the equity shareholders constituting 100% of the total value of

credit have been obtained are placed at pages 356 to 376 of the typed set filed with the application and sought for dispensation with holding of meeting.

(ii) There is one Secured Creditor and the certificate issued by the Chartered Accountants to this effect is placed at page No. 377 of the typed set filed with the application and consent by way of Affidavit given by the Sole Secured Creditor constituting 100% of the total value of credit have been obtained are placed at pages 378 to 380 of the typed set filed with the application and sought for dispensation with holding of meeting.

(iii) There are 3 (Three) Unsecured Loan Creditors and the certificate issued by the Chartered Accountants to this effect is placed at page no. 381 of the typed set filed with the application and consent by way of Affidavit given by all the unsecured Loan Creditors constituting 100% of the total value of credit have been obtained are placed at pages 382 to 390 of the typed set filed with the application and sought for dispensation with holding of meeting.

(iv) There are 279 (Two Hundred and Seventy Nine) Unsecured Trade Creditors and the certificate issued by the Chartered Accountants to this effect is placed at page nos. 391 to 397 of the typed set filed with the application and consent by way of Affidavit given by Unsecured Trade Creditors constituting 91.13% of the

total value of credit have been obtained are placed at pages 398 to 434 of the typed set filed with the application and sought for dispensation with holding of meeting.

6. We have perused the application and the connected documents / papers filed therewith including the Scheme contemplated by the Applicant companies.

7. From the certificate of incorporation filed, it is evident that the Transferor Company is a Private limited company incorporated under the provisions of Companies Act, 1956 on 24.01.2012. The Authorized Share Capital of the Transferor Company is as on 31.03.2021 is as follows:

PARTICULARS	AMOUNT (IN INR)
Authorized Share Capital	
1,00,000 Equity Shares of Rs.10 each	10,00,000
Total	**10,00,000**
Issued, Subscribed and Paid – up Share capital	
50,000 Equity Shares of Rs.10 each	5,00,000
Total	**5,00,000**

8. From the certificate of incorporation filed, it is evident that the Transferee Company is a Private limited company was originally incorporated under the provisions of Companies Act, 2013 on 08.03.2017 under the name and style of "TCS Textile and Apparel

India Private Limited". Subsequently with the approval of the Central Government and consequent to the fresh certificate of Incorporation pursuant to change of name, the name of the Transferee Company was changed from "TCS Textile and Apparel India Private Limited to "SCM International Impex PKA India Private Limited" in the State of Tamil Nadu as on 05.03.2021. The Original Certificate of Incorporation and Certificate of Incorporation pursuant to the name change are annexed at Annexure – 6. The Authorized Share Capital of the Transferee Company is as follows:

PARTICULARS	AMOUNT (IN INR)
Authorized Share Capital	
5,20,00,000 Equity Shares of Rs.10 each	52,00,00,000
Total	**52,00,00,000**
Issued, Subscribed and Paid – up Share capital	
4,86,13,075 Equity Shares of Rs.10 each	48,61,30,750
Total	**48,61,30,750**

9. The Applicant Companies has filed its Memorandum and Articles of Association *inter alia* delineating its object clauses as well as their last available Audited Annual Accounts of the Transferor and Transferee Company for the year ended 31.03.2020 and the Unaudited Annual Accounts of the Transferor and Transferee Company for the year ended 31.03.2021.

10. The Board of Directors of the Applicant Companies vide meeting held on 05th July 2021 has unanimously approved the proposed Scheme as contemplated above and copies of resolutions passed thereon have been placed on record by the applicant companies.

11. The Appointed date as specified in the Scheme Shall be 01.04.2021.

12. The Statutory Auditors of the Transferor and Transferee Company have examined the Scheme in terms of provisions of Sec. 232 of Companies Act, 2013 and the rules made thereunder and certified that the Accounting Standards are in compliance with Section 133 of the Companies Act, 2013. The Certificate of the Statutory Auditors of the Transferor and Transferee Company issued in this regard is placed at Annexure 30 and 31 of the typed set filed along with the Application respectively.

13. Taking into consideration the application filed by the Applicant Company and the documents filed therewith as well as the position of law, this Tribunal propose to issue the following directions : -

A. IN RELATION TO THE TRANSFEROR COMPANY:

(i) **With respect to Equity shareholders:**

Since it is represented by the Transferor Company that there are 3 Equity Shareholders in the Company whose consents by way of Affidavits have been obtained from all the equity shareholders and are placed on record, the necessity of convening and holding the meeting is ***dispensed with.***

(ii) **With respect to Secured Creditors:**

Since it is represented by the Transferor Company that there is NIL Secured Creditor in the Company, hence the necessity of convening, holding and conducting a meeting does not arise.

(iii) **With respect to Unsecured Loan Creditors:**

Since it is represented by the Transferor Company that there are two Unsecured Loan Creditors in the Company whose consents by way of Affidavits have been obtained from both the Unsecured Loan Creditors and are placed on record, the necessity of convening and holding the meeting is ***dispensed with***.

(iv) **With respect to Unsecured Trade Creditors:**

Since it is represented by the Transferor Company that there are Nineteen Unsecured Trade Creditors in the Company whose consents by way of Affidavits have been obtained from the Unsecured Trade Creditors constituting 92.36% of total value of credit and are placed on record, the necessity of convening and holding the meeting is ***dispensed with.***

B. IN RELATION TO THE TRANSFEREE COMPANY:

(i) With respect to Equity shareholders:

Since it is represented by the Transferee Company that there are 7 Equity Shareholders in the Company whose consents by way of Affidavits have been obtained from all the shareholders Constituting 100% of the total value of credit are placed on record, the necessity of convening and holding the meeting is ***dispensed with.***

(ii) With respect to Secured Creditors:

Since it is represented by the Transferee Company that there is one Secured Creditor in the Company, whose consents by way of Affidavits have been obtained from the sole Secured Creditor constituting 100% of the total value of credit are placed on record, the necessity of convening, holding and conducting the meeting is ***dispensed with***.

(iii) With respect to Unsecured Loan Creditors:

Since it is represented by the Transferee Company that there are three Unsecured Loan Creditors in the Company whose consents by way of Affidavits have been obtained from all the Unsecured Loan Creditors and are placed on record, the necessity of convening and holding the meeting is ***dispensed with***.

(iv) **With respect to Unsecured Trade Creditors:**

Since it is represented by the Transferee Company that there are Two Hundred and Seventy Nine Unsecured Trade Creditors in the Company whose consents by way of Affidavits have been obtained from the Unsecured Trade Creditors constituting 91.13% of total value of credit and are placed on record, the necessity of convening and holding the meeting is ***dispensed with.***

14. The Applicant Companies shall submit the Company Petition(s) within 14 days from the date of receipt of this order. Accordingly, the Application stands **allowed**.

-Sd-

SAMEER KAKAR
MEMBER (TECHNICAL)

-Sd-

Justice (Retd) S.RAMATHILAGAM
MEMBER (JUDICIAL)

Sriram Ananth.V